

CSHR pitch deck

PITCH — CSHR — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: NO ENTRY at \$4.88 — convert to a dated re-review gated on the first verifiable monthly AUM posting (~2026-09-02) and the H1 2026 report (due by 2026-09-30); the “cheap with a book-value floor” case did not survive review.

What we believe

CoinShares (CSHR) is a European crypto asset manager that came to the US market through a SPAC merger completed March 31, 2026. The stock, at \$4.88, is down 53% from its 52-week high — but that high (\$10.43) was an artifact of the SPAC trust structure, not a real trading level, and the stock has already bounced 39% off its \$3.51 low. This is not a fresh panic; it is a bounced tape.

The original bull case — that the business earns fees on assets under management, trades near book value, and is being sold off mechanically by SPAC arbitrageurs rather than on fundamentals — was substantially dismantled by our own adversarial review:

- 1. The book value is not a hard floor.** Stated “available capital” is \$481.3M (~\$3.65/share), but \$280.0M of that — 58% — is accrued management fees owed to CoinShares by its own legacy XBT crypto products. That receivable is economically linked to crypto prices, not liquid, distributable capital. Truly liquid capital is about \$176.7M, roughly \$1.34 per share. In a crypto downturn, both the earnings and the book shrink together. There is no hard-asset floor at \$3.51.
- 2. Earnings are more crypto-levered than the fee arithmetic suggests.** The simple model “revenue = ~170bps × AUM” omits the Capital Markets segment — \$73.1M of revenue and gains (~37% of the total), including staking (\$21.9M) and lending (\$10.7M). That is the leg that reverses hardest in a downturn, and net income already fell from \$162.4M to \$114.3M (−30%) in an *up* year for crypto.
- 3. The supply overhang is real and enormous.** A resale registration covering 105,610,080 shares plus 10,999,993 warrant shares (strike \$11.50, currently out of the money) went effective in June — roughly 80% of the ~131.8M share count registered for sale, against very thin daily volume.

What we still believe positively: this is a real, profitable, founder-run business with a genuine European ETP franchise, a new UCITS platform launched in July, and management seeking buyback authority. None of that is enough to own it today at 1.34x a soft book, blind on flows since June.

What the market believes

The market is pricing CSHR as a small, thinly covered, crypto-beta stock with a massive registered share overhang: down 53% from the (artificial) high, up 39% off the low, and stuck below where the SPAC priced. Forward analyst estimates exist (the name is thinly covered, not uncovered), and the market appears unwilling to pay for the fee stream until the selling-shareholder supply clears and post-merger reporting establishes a track record. Implicitly, the market treats the balance sheet as crypto-linked — which our review confirmed is the correct treatment.

Why we might have edge

- **We did the balance-sheet decomposition most screens won't.** Anyone reading “available capital \$481M” against a ~\$643M market cap sees ~0.75x price-to-capital and calls it cheap. We traced 58% of that capital to an accrued fee receivable inside the company’s own crypto vehicles. Knowing *why* the cheapness is illusory is edge on the short side of others’ mistakes — it tells us where the real re-entry level is, and what disclosure (the H1 balance sheet) resolves it.
- **We have a specific, dated verification calendar the market may not be watching:** the monthly AUM tracker (updated by the third business day of each month, per the company), the H1 report due by September 30 ([company press release, July 30, 2026](#)), and a pending shareholder meeting on buyback authority. Buybacks executed against a 105.6M-share overhang near liquid-capital value would be genuinely accretive — a two-sided setup our review flagged that pure bears miss.
- **The overhang is quantified, not vibes:** 105,610,080 + 10,999,993 shares, verified against the effective registration statement. When that supply is absorbed or locked up past H1, the setup changes measurably.

Why it might be priced in

Honestly: mostly, it already is. The market’s implicit view — crypto-beta earnings, soft book, huge supply — matches what our review concluded. Our “edge” is currently *diagnostic*, not *actionable*: we can explain the discount better than we can refute it. Two of the three things that would make the stock ownable (book quality, flow trajectory) are unverifiable until the company publishes its next AUM datum and H1 balance sheet. Until then, buying here is just a smaller version of the same crypto bet with no informational advantage — which is why the proposed verdict is no entry rather than a contrarian buy.

What we checked ourselves

claim	how checked	found	confirmed?
“1.0x book = clean floor; digital assets only \$33.4M” (original brief)	Fetches the company’s FY2025 results release (primary)	\$481.3M “available capital” = \$176.7M liquid + \$280.0M accrued crypto-linked fees (58%) . The brief cited the wrong balance-sheet line — an error by our own side.	✗ Refuted; floor claim struck

claim	how checked	found	confirmed?
“Revenue is arithmetically ~170bps × AUM” (original brief)	Same FY2025 release, segment detail	Capital Markets revenue+gains \$73.1M ≈ 37% of total (staking \$21.9M, lending \$10.7M) omitted from the brief’s arithmetic; NI fell \$162.4M→\$114.3M in an up year. Our own model was wrong.	❌ Refuted
Resale registration ~80% of share count	Registration statement chain on EDGAR (F-1 5/15 → effective 6/02 → prospectus 6/03)	Exactly 105,610,080 resale shares + 10,999,993 warrant shares at \$11.50 strike	✅ Confirmed
Next earnings date 8/19 (data-pack estimate)	Company’s own 7/30 press release	Superseded: H1 results due “no later than September 30, 2026.” No results event inside 5 trading days. The machine pack’s date was wrong.	✅ Corrected
“No July AUM posting exists — the monthly cadence is a promise, not a feed” (bear reviewer)	Second reviewer re-checked the investor site	Bear reviewer checked the wrong venue (press feed, not the AUM Tracker section at investor.coinshares.com/financials). Tracker is JavaScript-rendered and unreadable by our fetcher — so July data is <i>unverified</i> , not <i>absent</i> . A bench error, reduced on appeal.	⚠️ Unverified either way
“Flow leg intact” (original brief, from one June data point)	Searched weekly fund-flow reports	Only June data reachable (+\$59M Europe/Canada) against \$1.5B global weekly redemptions; nothing for July/August	⚠️ Unverifiable until company posts
Tape framing	Cross-checked both reviewers against the data pack	Bear reviewer wrote “+53.2%” where the pack says –53.2% drawdown — a sign-convention slip; its actual framing (“bounced, +39% off low”) matched the pack, so no analytical damage	✅ Audited, harmless
Lockups on the 105.6M resale shares extend past H1	Attempted; full F-1 too large to fetch this session	Unknown	❌ Not verified — open item

PROPOSED ENTRY BANDS

The review’s conclusion is no entry today. Reopen conditions, taken from the reviewers’ own math:

- **Price reopen trigger — below \$3.51** (the 52-week low ≈ 0.96x *stated* book of ~\$3.65/share): a break of the level the original brief called the floor forces a re-review. Per our falling-knife rule, a new low triggers review, **never** an automatic buy — especially with ~\$1.34/share of truly liquid capital as the only hard anchor beneath it.
- **Data reopen gate 1 — first verifiable monthly AUM posting (~2026-09-02):** reopen constructively only if it shows net inflows with a blended fee yield ≥160bps. Outflows or yield compression = stay away.

- **Data reopen gate 2 — H1 2026 report (by 2026-09-30):** reopen constructively only if the balance sheet shows the \$280M accrued fee position realized, hedged, or fiat-denominated — i.e., the book hardens. Also resolves the lending-book counterparty exposure (unbounded by either reviewer).
- **Structural tripwire — the shareholder-meeting notice on buyback authority** (promised “shortly” as of 7/30, not yet published): an authorized buyback executed against the overhang near liquid-capital value flips the registration from pure supply to accretion.
- **Sizing:** none proposed. If all three gates pass, the name goes back through review for sizing — the reviewers explicitly declined to pre-commit a size on unverifiable book quality, and we honor that.
- **Exits/trims:** not applicable; no position and no entry proposed.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.51 (deck-provisional: 52-week low = breach of the brief’s claimed book floor (~0.96x stated book); forces re-review, never a)
- filing watch: 6-K until 2027-02-07 (deck-provisional: H1 2026 results, shareholder-meeting notice, and buyback-authorization outcome all arrive as 6-K)
- dated pack CSHR|2026-09-02: CSHR: first verifiable monthly AUM/flow posting (3rd business day; reopen gate: net inflows + blended yield ≥ 160 bps) (date confirmed=False)
- dated pack CSHR|2026-09-30: CSHR: H1 2026 report deadline per company 7/30 PR (reopen gate: \$280M accrued-fee position hardened; lending-book tail bounded) (date confir

What remains unverified

- **Whether July/August AUM data was actually posted** — our tools cannot render the tracker page; absence vs. unreachability is unresolved.
- **Lockup terms on the 105.6M registered resale shares** — whether selling shareholders are restricted past H1; the full registration document was too large to fetch.
- **Flow trajectory since June** — one month, one region of positive data against large global redemptions.
- **The lending book’s counterparty risk** — \$10.7M of lending interest implies principal deployed to crypto counterparties; neither reviewer bounded the loss tail. H1 balance sheet resolves.
- **The shareholder-meeting date** — promised but not yet noticed; buyback authority does not yet exist.
- **Realizability of the \$280M accrued fee position** — the single biggest swing factor between “soft book” and “hard floor.”

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